

Why Isn't Olist Growing?

What the data says about Olist's customers, and what to do about it

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The Short Version

Olist's sales grew fast in 2017, then stopped growing in 2018. The reason is simple: **almost nobody buys a second time**. Out of every 100 customers, 97 buy once and never come back. Olist grew by constantly finding new customers, and when new customers slowed down, so did sales.

Late deliveries make this worse. Customers whose order arrived late gave an average of **2.6 stars**, compared with **4.3 stars** when it arrived on time. A bad first order is a big reason people don't return.

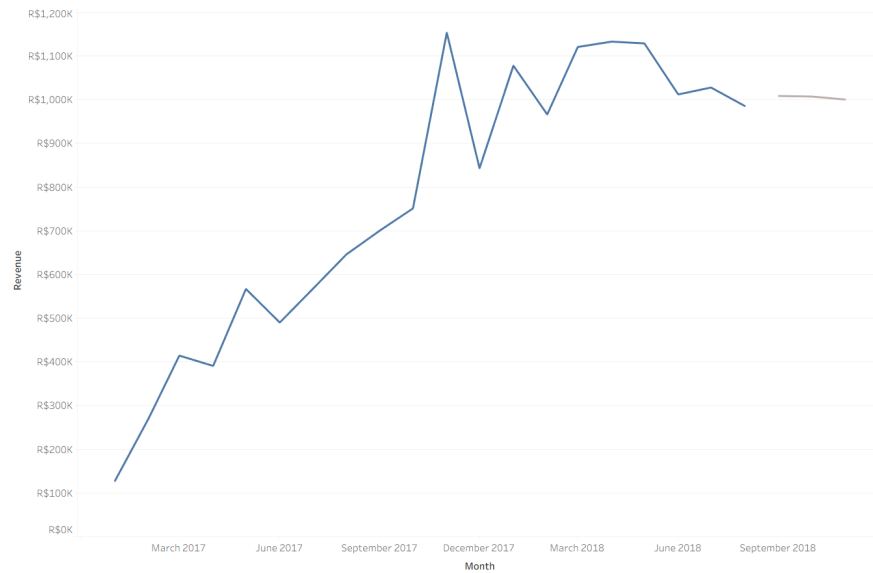
What to do: focus on getting a second order from recent big spenders, win back big spenders who have gone quiet, and cut down on late deliveries.

Customers studied	93,358
Customers who bought more than once	2,801 (about 3 in 100)
Best month for customers coming back	Less than 1 in 100
Average rating: late vs on time	2.6 vs 4.3 stars
Expected monthly sales, next 3 months	About R\$1.0M (no growth)

What We Found

1. Sales grew fast in 2017, then flattened

Monthly sales went from about R\$130K in January 2017 to about R\$1.15M in November 2017, when Black Friday gave a big boost. Since then, sales have stayed around R\$1.0M to R\$1.1M a month. If nothing changes, sales are expected to stay flat at about R\$1.0M a month (gray line).



Monthly sales (blue) and expected sales for the next 3 months (gray)

2. Fewer than 1 in 100 customers come back

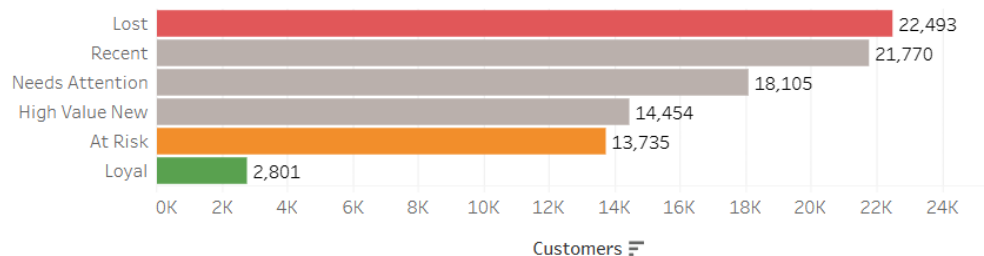
Each row below is a group of customers who made their first purchase in the same month. Each box shows what percent of that group bought again 1, 2, 3 or more months later. Darker means more came back. Every box is under 1%, for every group. This isn't a bad season or one failed promotion. It's how Olist's customers have always behaved, and it's why sales stopped growing once new customers slowed down.

	Months Since First																		
Month of Coho..	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	19	
January 2017	0.39%	0.26%	0.13%	0.39%	0.13%	0.52%	0.13%	0.13%		0.39%	0.13%	0.79%	0.39%	0.13%	0.13%	0.26%	0.39%	0.13%	
February 2017	0.23%	0.29%	0.11%	0.40%	0.11%	0.23%	0.17%	0.17%	0.23%	0.11%	0.29%	0.17%	0.17%	0.11%	0.06%	0.06%	0.23%		
March 2017	0.49%	0.38%	0.38%	0.34%	0.15%	0.15%	0.30%	0.34%	0.08%	0.38%	0.15%	0.23%	0.11%	0.15%	0.23%	0.08%	0.15%		
April 2017	0.60%	0.21%	0.17%	0.34%	0.26%	0.34%	0.30%	0.30%	0.17%	0.26%	0.09%	0.09%	0.04%	0.09%	0.09%	0.21%			
May 2017	0.50%	0.50%	0.39%	0.31%	0.33%	0.42%	0.17%	0.25%	0.31%	0.25%	0.33%	0.25%	0.03%	0.19%	0.25%				
June 2017	0.48%	0.35%	0.41%	0.25%	0.38%	0.38%	0.22%	0.13%	0.22%	0.32%	0.35%	0.16%	0.13%	0.19%					
July 2017	0.51%	0.36%	0.26%	0.28%	0.21%	0.31%	0.10%	0.18%	0.26%	0.23%	0.31%	0.13%	0.26%						
August 2017	0.69%	0.33%	0.26%	0.36%	0.53%	0.29%	0.26%	0.14%	0.14%	0.24%	0.19%	0.10%							
September 20..	0.68%	0.53%	0.29%	0.46%	0.22%	0.22%	0.24%	0.29%	0.17%	0.27%	0.07%								
October 2017	0.69%	0.25%	0.09%	0.22%	0.20%	0.22%	0.36%	0.27%	0.20%	0.20%									
November 2017	0.55%	0.38%	0.18%	0.19%	0.18%	0.11%	0.19%	0.14%	0.05%										
December 2017	0.26%	0.27%	0.35%	0.27%	0.20%	0.16%	0.05%	0.22%											
January 2018	0.34%	0.38%	0.28%	0.28%	0.16%	0.17%	0.23%												
February 2018	0.39%	0.39%	0.29%	0.26%	0.22%	0.20%													
March 2018	0.46%	0.32%	0.29%	0.13%	0.13%														
April 2018	0.58%	0.31%	0.24%	0.13%															
May 2018	0.53%	0.27%	0.21%																
June 2018	0.42%	0.29%		0.02%															
July 2018	0.72%	0.03%																	
August 2018	0.11%	0.03%																	

Percent of customers who bought again, by the month they first bought

3. Only 3% of customers are regulars

We sorted customers into groups based on how recently they bought and how much they spent. The two groups most worth going after are **High Value New** (just bought and spent a lot) and **At Risk** (spent a lot but haven't been back in a while). Together that's about 28,000 customers.

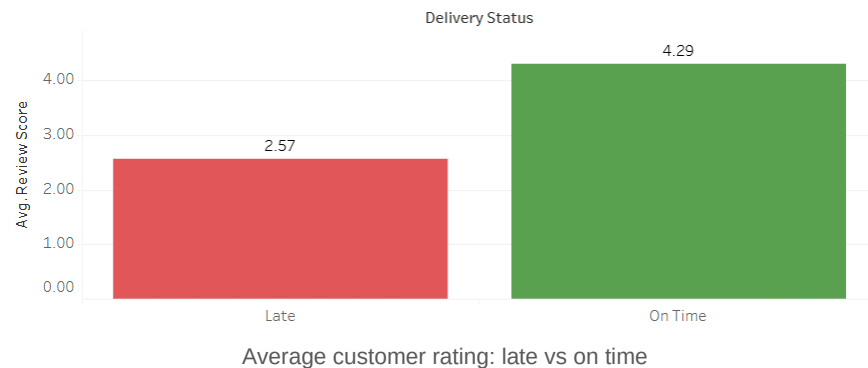


Number of customers in each group

Group	Customers	Who they are
Lost	22,493	Bought a long time ago and spent less
Recent	21,770	Bought recently, spent less
Needs Attention	18,105	In the middle on both
High Value New	14,454	Bought recently and spent a lot, but only once
At Risk	13,735	Spent a lot, but haven't been back in a long time
Loyal	2,801	Bought two or more times

4. Late deliveries cost almost 2 stars

Orders that arrived late got an average of 2.6 stars. Orders that arrived on time got 4.3. Customers who have a bad first experience are much less likely to try again.



What Olist Should Do

Action	Why	How we'll know it worked
1. Ask for a second order. Send High Value New customers a reminder or small discount 2 to 4 weeks after their first purchase.	They just bought and spent a lot, so they're the most likely to come back.	More new customers buying again within a month
2. Win back big spenders. Send At Risk customers a strong comeback offer.	They've already shown they'll spend. Winning them back is cheaper than finding new big spenders.	More At Risk customers ordering again within 60 days
3. Fix late deliveries. Start with the sellers and regions that are late most often.	Late orders get much worse ratings, and unhappy customers don't come back.	Fewer late orders and higher average ratings

Tip: try the offers on part of the customer list first and compare them with customers who didn't get an offer. That shows whether the offer actually made the difference.

Things to Keep in Mind

- Olist sells through bigger shopping websites, so many customers may not even know they bought from Olist. Some of the problem may be that people don't recognize the brand.
- Late deliveries and low ratings clearly go together, but that doesn't prove late deliveries are the only reason customers leave.
- The sales projection is simple. It assumes things stay the same and won't predict holiday spikes.
- The data only goes through 2018.

Appendix: How This Was Done

For technical readers.

Data. Olist Brazilian E commerce Public Dataset (Kaggle), about 100,000 orders from late 2016 to 2018 across nine tables. Delivered orders only. Revenue is item price plus freight. Revenue trends use January 2017 through August 2018, since months outside that range have very few orders.

Pipeline. Tables loaded into a local SQL Server database. Core metrics written as SQL views. Python (pandas) built the customer segments and forecast and wrote results back to SQL Server. Tableau connects to the database for the dashboard.

Method	Details
Monthly cohort retention (SQL)	Customers grouped by first purchase month using customer_unique_id; retention = customers ordering in month N divided by cohort size.
RFM segmentation (Python)	Recency and monetary scored 1 to 5 by quintile. Frequency used only for Loyal (2+ orders), since nearly all customers have 1 order. Segment rules set by the analyst.
Late vs on time reviews	Late = delivered after estimated delivery date. Average review score compared between the two groups and tested with a t test.
Forecast	3 month moving average, applied recursively for the next 3 months.

Next steps.

- Predict which orders will get a low review (logistic regression on delivery time, price, freight, state).
- Replace the moving average with a seasonal forecast such as Prophet.
- Break down late delivery rates by state and seller.
- Compare rule based segments with k means clustering.